LOCAL GETS MORE VOCAL

Development of an indigenous 5G network and big ticket structural reforms are among India's achievements as the next wave of communications and IT revolution gathers pace

By Anilesh S. Mahajan



A mobile phone factory in Noida, June 2020

BANDEEP SINGH

IN JULY 2021, when Ashwini Vaishnaw took over as the minister of electronics and information technology (MeitY), along with communications (his other portfolio is Railways, discussed elsewhere in this package), the brief from PM Narendra Modi was clear—streamline these sectors to create more jobs and build an ecosystem to make the most of domestic technologies and push local manufacturing. The first thing Vaishnaw did was to anchor big-ticket structural and procedural reforms in telecom in September 2021. He allowed mobile telephony companies to defer their AGR (adjusted gross revenue) and other statutory dues by another four years, giving them more breathing space and a fresh lease of life to the debt-ridden Vodafone-Idea. The ministry has also eased the process to share scarce airwaves, changed the definition of revenue on which levies are paid and allowed 100 per cent foreign investment under the automatic route. The ministry also accelerated the process of developing and designing an indigenous network for 5G. On May 20 this year, Vaishnaw participated in a successful 5G test call. He is now fine-tuning a scheme for design-led manufacturing, which will help build a stronger ecosystem for 5G as part of the Production-Linked Incentive scheme. In January, global standards development body 3GPP (Third Generation Partnership Project) agreed to a plan of action that will allow the merger of 5Gi (5G radio interface technology) into 5G. This was crucial to take mobile connectivity to the remotest parts. At MeitY, Vaishnaw scripted a plan for semiconductor production in India at a time when chip shortage poses a big threat to several sectors, particularly the automobile industry. ■

WHAT'S DONE

- Achieved an indigenously designed and developed 5G network; auctions expected to be held in Q4 of FY23
- Announces relief measures for telecom companies, such as allowing deferred AGR (adjusted gross revenues) dues, simplification in future calculations of AGR and other spectrum dues
- PLI scheme for manufacturing semiconductors rolled out to bridge shortage

CHALLENGES AHEAD

- Fine-tune the PLI scheme for manufacturing 5G equipment
- Ensure that semiconductor manufacturing takes off on the ground
- Take Digital India connectivity to the remotest parts of the country
- Need to push data localisation in the Indo-US trade deal